

Microeconomic Theory: Part (2): 1 hour
Question (1): CHOOSE

34. Which of the following is **not** a property of indifference curve:

- a. The higher the indifference curves, the lower the level of satisfaction
- b. The indifference curves in the indifference map cannot intersect
- c. Indifference curve is downward sloping
- d. Indifference curve is convex to origin

35. When the price of good X (the good on the X- axis) whose demand curve is decreases, the price consumption curve is downward sloping.

- a. Zero elastic b. Inelastic c. Elastic d. Unitary elastic

36. If the demand curve for is unitary elastic, a decrease in the price of this good results in ..

- a. A horizontal price consumption curve
- b. no change in the quantity demanded for good X
- c. an increase in the quantity demanded of the other good Y
- d. All the above
- e. None of the above

If there are 2 goods X and Y, given that

	Good X	Good Y
Marginal utility	45	60
price	10	25
quantity	33	11

37. Based on the given table, the slope of the budget line =

- a. (-0.4) b. (-3) c. (-0.75) d. none of the above

38. Based on the given table, the level of income =

- a. 44 b. 330 c. 1950 d. none of the above

39. If the income and substitution effects of a price decrease work in the same direction, then the good whose price has changed is a good

- a. Inferior b. Normal c. Giffen d. Luxury

40. In goods Market where:

Demand curve: $Q_d = 420 - 2P$

Supply curve: $Q_s = 70 + 5P$

The equilibrium price =

- a. 70 b. 50 c. 140 d. none of the above

41. Using the same functions in previous question

The equilibrium quantity =

- a. 280 b. 420 c. 320 d. none of the above

2. Using the following demand and supply functions in goods market:
 Demand: $P = 12 - 0.25 Q_d$
 Supply: $P = 5 + 0.1 Q_s$
 The producer surplus =

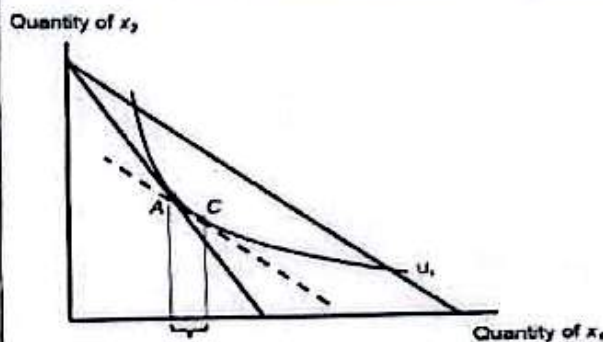
- a. 20 b. 7 c. 180 d. none of the above
 43. Based on functions in previous question, the total surplus =
 a. 70 b. 200 c. 180 d. none of the above

44. The assumption(s) of marginal utility analysis include
 a. Utility can be measured b. homogeneity, continuity, and constancy
 C. marginal utility of money is constant d. All of the above.

45. The demand for labor depends on:
 a. The price of the firm's output b. The prices of other factors of production
 C. Technology d. All the above
 E. None of the above

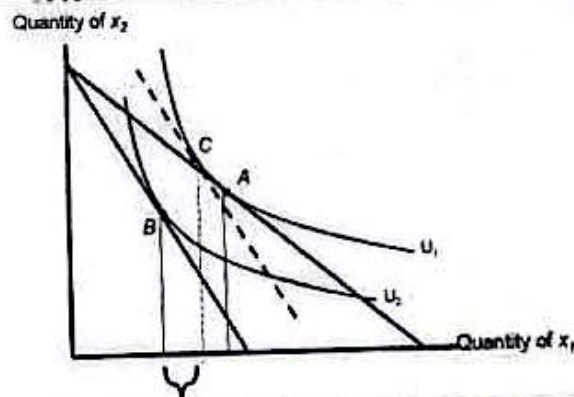
46. Using the following graph, when the price of good X_1 decrease, the distance between A and C represents

- a. Price effect
 b. substitution effect
 c. income effect
 d. utility effect



47. Using the following graph, when the price of good X_1 increase, the distance between C and B represents

- a. Price effect
 b. substitution effect
 c. income effect
 d. utility effect



48. If the wage rate exceeds the value of marginal product of labor, a firm can increase its profit by employingworkers
 a. Fewer b. more c. same number of d. cannot determine

49. In case of Giffen goods, demand curve is sloping
 a. Downward b. Upward c. Horizontal d. Vertical

50. The consumer is in equilibrium when
 a. he maximizes his utility given his income and the market prices
 b. Marginal rate of substitution of X for Y equal the price ratio of X to Y
 c. The budget line is tangent to the indifference curve
 d. All the above

51. The demand for labor curve slopes downward because
 a. value of marginal product of labor diminishes as the quantity of labor employed increases.
 b. value of marginal product of labor increase as the quantity of labor employed increases.
 c. the price level increases as the quantity of labor employed increases
 d. the price level decreases as the quantity of labor employed increases

52. which of the following factors does not affect the slope & position of a consumer's budget line between 2 goods X & Y

a. shape & position of consumer's indifference curve	b. Price of good X
c. price of good Y	d. Consumer's income

53. For inferior goods, what is the relationship between income effect and the substitution effect in case of price decrease of this good?

a. Income effect = Substitution effect	b. Income effect > Substitution effect
c. Income effect < Substitution effect	d. Cannot determine

QUESTION (2): TRUE OR FALSE

11. The law of diminishing marginal utility cannot be applied to goods whose consumption is not continuous in nature, such as television and refrigerator.
12. If the commodities can substitute one another, but are not perfect substitutes, the indifference curve is a straight line
13. In case of a giffen good, the substitution effect and the income effect reinforce each other
14. An increase in income shifts the budget constraint out in a parallel fashion
15. For inferior good, when income increase, the demand curve shifts leftward
16. In case of price change for a normal good, income effect must equal to price effect
17. Market supply curve of labor is found by adding together the quantities of labor supplied by all households at each wage rate.
18. At each point of the income consumption curve (ICC), the slope of indifference curve is greater than the slope of the budget line.
19. According to the law of diminishing returns, the more of one good consumed in a given period, the less satisfaction generated by consuming each additional unit of the same good.
20. The consumption of inferior goods declines with the increase in income and its demand curve is downward sloping

Question (3): MATCHING

1. Income consumption curve	a. States that the consumer is in equilibrium position when marginal utility of money spent on each good is same.
2. Ordinal utility	b. Is equal to the marginal utility of good X divided by the marginal utility of good Y
3. Total utility	c. Is the curve that shows various combinations of the two goods which give equal satisfaction level
4. Consumer surplus	d. Is the demand curve for a giffen good
5. Principal of Equimarginal utility	e. is the curve that shows equilibrium quantities of two commodities that would be purchased by the buyer at different levels of income
6. Indifference curve	f. The demand for a factor of production which is a consequence of the demand for the goods and services it is used to produce
7. Value of marginal product	g. The sum of total satisfaction which a consumer receives by consuming various units of the same commodity.
8. Backward individual labor supply	h. is the extra utility derived from purchase of goods that has a value to the consumer greater than the market price.
9. Marginal rate of substitution	i. postulated that utility can be measured.
10. Derived demand	j. Indicates that a worker may decrease his working hours when his wage per hour tends to rise.
	k. Postulated that the consumer can rank various baskets of goods according to the satisfaction that each bundle gives him
	l. equals price of a unit of output multiplied by the marginal product of the factor of production.
	m. is the additional satisfaction gained by consuming one more unit of a good.

Best wishes